

selling out their remaining holdings in India, Russia, and Brazil in order to buy U.S. Treasury bonds. Again, perversely, that will be the signal for the end of the Japan syndrome, when the bond market finally crashes.

But with those words of caution, let's look at why—eventually—this beta play should pay off.

We begin by asking once again why we bother to begin at all. According to the efficient market hypothesis, you can't really improve your results. Prices are set by markets, which are always smarter than individual investors. Most investors would probably help protect their money by assuming it were true, just as they protect their marriages from infidelity by assuming they will be caught. Both assumptions are probably incorrect, but both are useful. But what if a careful analysis of the big picture permitted you to shift the odds just a little bit in your favor?

In random walk theory, one investment selection is as good as another. But in practice, investors act like befuddled crowds. They tend to bid up certain favorite investments far beyond what the random walk would suggest. This makes those investments—the very ones that most people want to buy—the very worst ones, because they are selling above what a purely random system might provide. Yet if that is true—if there are some investments so favored by investors that they perform worse than random motion would predict—the opposite must be true, too. There must be some unfavored investments that are so neglected and underpriced that they will perform better than random motion suggests.

This insight has been confirmed by countless studies. “Rich,” popular stocks tend to go down. Pariah stocks tend to go up. The academic explanation: Markets aren't always “efficient.”

Fortunately for us, popular investments—that is, those that are likely to underperform the market—also happen to be oriented to the short term. Not only do people want to make a lot of money, they want to do it quickly.

So if you are focusing on a long-term trend—one that will pay off many years into the future—it is not likely that you will choose popular, overpriced investments. Those will be the favorites of people who want their profits sooner rather than later. Since the payoff from favoring emerging markets could be far in the future, we are probably safe in guessing that it is not, generally, an overbought position.